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Case Number: 26STCV06278 Hearing Date: September 15, 2026 Dept: 514

Paek v. Lee

26STCV06278

Defendants' Demurrer to First Amended Complaint

Tentative Ruling

The demurrer is overruled.

Background

This case arises out of allegations of fraud and other wrongdoing relating to investments and "purported gold forex trading."

On February 26, 2026, Daniel Paek, Won Bong Chang, Ha Bum Kim, and Donghoon Lee (collectively "Plaintiffs") filed the complaint in this action.

After a demurrer was filed, Plaintiffs filed a First Amended Complaint (the "FAC") on June 26, 2026. In the FAC, Plaintiffs identify as defendants Jason Lee ("Lee"); Jonathan Park aka Jonathan S. Park aka Sungwoo Park aka Jonathan Sungwoo Park ("Park"); Aeon International Trust ("Aeon"); and Does 1 through 50 and assert causes of action for (1) intentional misrepresentation and concealment, (2) negligent misrepresentation and concealment, (3) breach of fiduciary duty, (4) conspiracy, (5) unjust enrichment, (6) common count, (7) accounting, (8) conversion, (9) breach of contract, and (10) breach of the implied covenant of good faith and fair

dealing.

On July 23, 2026, Defendants Lee, Park, and Aeon (collectively, “Defendants”) filed a demurrer to the FAC. On July 24, 2026, Defendants filed a second demurrer to the FAC. The Court treats the demurrer filed on July 24 as superseding the July 23 filing.

Plaintiffs filed an opposition on August 14, and Defendants filed a reply on August 25.

The hearing was initially scheduled for August 31 and was continued by the Court to September 15.

No trial date has been set.

Legal
Standard

Code of Civil Procedure section 430.10
provides:

“The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds:

...

(e) The pleading does not state facts sufficient to constitute a cause of action.

(f) The pleading is uncertain. As used in this subdivision, “uncertain” includes ambiguous and unintelligible. ...”

A general demurrer under Code of Civil Procedure section 430.10, subdivision (e), tests whether the complaint states a cause of action. (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388; Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see also 1 Weil & Brown, California Practice Guide: Civil Procedure Before Trial [2025], ¶ 7:40.)

“We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. We also consider matters which may be judicially noticed.” (Centinela Freeman Emergency Medical Associates v. Health Net of California (2016) 1 Cal.5th 994, 1010; Blank v. Kirwan (1985) 39 Cal.3d 311, 318; accord Yvanova v. New Century Mortgage Corp. (2016) 62 Cal.4th 919, 924; Marina Pacific Hotel and Suites v. Fireman’s Fund Insurance Company (2022) 81 Cal.App.5th 96, 104.) All reasonable inferences must be drawn in favor of the pleading. (Schifando v. City of Los Angeles (2003) 31 Cal.4th 1074, 1081; Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at p. 104.) Even “improbable” facts alleged in the pleading must be accepted as true. (Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at pp. 104-105.)

Courts must “liberally construe the pleading” and “give the complaint a reasonable interpretation, reading it as a whole and its parts in context.” (Id. at p. 105.)

A complaint must contain a “statement of facts constituting the cause of action, in ordinary and concise language.” (Code Civ. Proc., § 425.10, subd. (a)(1); see also C.A. v. William S. Hart High School Dist. (2012) 53 Cal.4th 861, 872 [“the complaint need only allege facts sufficient to state a cause of action”].) Ordinarily, a complaint “is sufficient if it alleges ultimate rather than evidentiary facts.” (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) Ultimate facts are those upon which “the right to recover depends” and are “essential” to the cause of action. (Estes v. Eaton Corp. (2020) 51 Cal.App.5th 636, 643 fn. 2; see also 1 Weil & Brown, supra, ¶ 6:124.)

A plaintiff is required to plead only “the essential facts of [its] case” that are sufficient “to acquaint a defendant with the nature, source and extent of [the] cause of action.” (Doe, supra, 42 Cal.4th at p. 550.) Mere boilerplate or pleading of legal conclusions is not sufficient. (Id. at p. 551 fn. 5.) But a plaintiff need not allege “each evidentiary fact that might eventually form part of plaintiff’s proof” at trial. (C.A., supra, 53 Cal.4th at p. 872.)

A demurrer for uncertainty under Code of Civil Procedure section 430.10, subdivision (f), is “disfavored” and will be sustained “only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors (2019) 38 Cal.App.5th 677, 695; accord Mahan v. Charles W. Chan Ins. Agency, Inc. (2017) 14 Cal.App.5th 841, 848, fn. 3.) A complaint need not be “a model of clarity” and must only contain sufficient allegations to put the defendants on notice of the claims against them. (A.J. Fistes Corp., supra, 38 Cal.App.5th at p. 695.) As the Court of Appeal has observed, “where a complaint is in some respects uncertain, ... ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of Cal., Inc. (1993) 14 Cal.App.4th 612, 616; see also 1 Weil & Brown, supra, ¶¶ 7:85-7:86.)

A demurrer can be sustained only when it disposes of an entire cause of action. (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend should be granted when “there is a reasonable possibility that the defect can be cured by amendment.” (Centinela Freeman, supra, 1 Cal.5th at p. 1010; Blank, supra, 39 Cal.3d at p. 318; Shaeffer v. Califia Farms (2020) 44 Cal.App.5th 1125, 1145.)

Meet and Confer

Before filing a demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc. § 430.41, subd. (a).) This requirement is met. (Fuson Decl., ¶¶ 2-3.)

Discussion

Defendants

demur to all ten causes of action in the FAC. The Court now considers each in turn.

First

and Second Causes of Action (Intentional Misrepresentation and Concealment & Negligent Misrepresentation and Concealment)

In

the First and Second Causes of Action, Plaintiffs assert causes of action for intentional and negligent misrepresentation.

The

elements of a cause of action for an intentional misrepresentation are: (1) that the defendant made a false representation of fact to plaintiff; (2) that the defendant knew that the representation was false; (3) that the defendant intended that the plaintiff rely on the representation; (4) that the plaintiff reasonably relied on the defendant's representation; and (5) that the plaintiff's reliance on the defendant's representation was a substantial factor in causing harm to the plaintiff. (Engalla

v. Permanente Medical Group (1997) 15 Cal.4th 951, 974; Daniels v.

Select Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1166; Philipson & Simon v. Gulsvig (2007) 154 Cal.App.4th 347, 363; Hinesley v.

Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294; see also Civ. Code, § 1710, subd. (1); CACI No. 1900.)

Each

element of a cause of action for fraud must be pleaded with particularity. (Robinson Helicopter Co. v. Dana Corp. (2004) 34 Cal.4th 979, 993; Lazar

v. Super Ct. (1996) 12 Cal.4th 631, 645; Small v. Fritz

Companies, Inc. (2003) 30 Cal.4th 167, 184; Glaski v. Bank of America (2013) 218 Cal.App.4th 1079, 1090-1092.) "[G]eneral

and conclusory allegations do not suffice."

(Lazar, supra, 12 Cal.4th at p. 645.)

For a

claim of fraud based on affirmative misrepresentations, "the particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Lazar, supra, 12 Cal.4th at p. 645.)

To

allege a cause of action for intentional misrepresentation against a corporation or other entity, a plaintiff must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

The

elements of a cause of action for a negligent misrepresentation are: (1) that the defendant made a false representation of fact to plaintiff; (2) that the defendant may have honestly believed that the representation was true but had no reasonable grounds for believing it to be true; (3) that the defendant intended that the plaintiff rely on the representation; (4) that the plaintiff reasonably relied on the defendant's representation; and (5) that the plaintiff's reliance on the defendant's representation was a substantial factor in causing harm to the plaintiff. (Bily

v. Arthur Young & Co. (1992) 3 Cal.4th 370, 407-408; SI 59, LLC v.

Variel Warner Ventures, LLC (2018) 29 Cal.App.5th 146, 154; Hydro-Mill

Co., Inc. v. Hayward, Tilton & Rolapp Ins. Associates, Inc. (2004) 115

Cal.App.4th 1145, 1154; see also Civ. Code, § 1710, subd. (2); CACI No. 1903.)

A

plaintiff must plead a negligent misrepresentation cause of action with particularity. (See Lazar, supra, 12 Cal.4th at p. 645.)

The

elements of a cause of action for fraudulent concealment are:

“(1)

concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.”

(Rattagan

v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40; see also Boschma v.

Home Loan Center (2011) 198 Cal.App.4th 230, 248; Blickman Turkus, LP v.

MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868; see also Civ.

Code, § 1710, subd. (3); CACI No. 1901.)

“California case law ... has viewed fraud by concealment on equal footing with fraud by affirmative misrepresentation.”

(Rattagan, *supra*, 17 Cal.5th at p. 39.)

Defendants

challenge the First and Second Causes of Action in the FAC, arguing that Plaintiffs have not included sufficiently particular allegations of the fraud. (Mem., at pp. 8-9.)

Reviewing

the FAC, Plaintiffs allege that they were defrauded by Defendants Lee and Park, acting on behalf of Aeon. (E.g., FAC, ¶¶ 11-21.) In particular, Plaintiffs allege that they met with Defendants Lee and Park in person in mid to late 2022 and also received electronic communications (texts and emails) from them. (FAC, ¶ 12.) In these meetings and electronic communications, Defendants Lee and Park are alleged to have made the following affirmative representations: (1) that the Defendants “were running a trading operation for gold-to-U.S. dollar trade that they referred to as ‘gold forex’ trades”; (2) that they had developed a trading strategy developed with artificial intelligence that was “overseen by exceptionally gifted traders”; (3) that this “highly proprietary and sophisticated” trading strategy “would routinely generate over 300% return on investment”; (4) that Defendants would act as agents for Plaintiff and set up accounts under Defendants’ names on a third-party trading platform; (5) that Defendants would use the money invested by Plaintiffs for “gold forex trades”; (6) that they would provide accurate reports or statements monthly and/or on request; (7) that Plaintiffs could withdraw their money at any time; and (8) that “Plaintiff’s funds were safe.” (FAC, ¶ 13(a)-(i).)

Plaintiffs

further allege that Defendants’ representation were false; that Defendants either knew that the representations were false or acted negligently in making the representations; that in reliance on these representations Plaintiffs invested more than \$1 million; that Defendants misappropriated Plaintiffs’ funds; and Plaintiffs suffered injury as a result. (FAC, ¶¶ 14-21, 23-28, 30-33.)

On

demurrer, the Court must accept these allegations as true and draw all reasonable inferences in support of the pleading.

Plaintiffs'

allegations are sufficiently particular to support their causes of action for intentional and negligent misrepresentations.

The pleading is not uncertain.

The demurrer

to the First and Second Causes of Action is overruled.

Third

Cause of Action (Breach of Fiduciary Duty)

The Third Cause of Action in the FAC is for breach of fiduciary duty.

The elements of a cause of action for breach of fiduciary duty are: (1) that the defendant and the plaintiff were in a relationship giving rise to fiduciary duties; (2) that the defendant breached a fiduciary duty owed to plaintiff; and (3) that the breach of fiduciary duty was a substantial factor in causing harm to the plaintiff. (Oasis West

Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820-821; Williamson v. Brooks (2017) 7 Cal.App.5th 1294, 1300; Shopoff & Cavallo LLP v. Hyon (2008) 167 Cal.App.4th 1489, 1509; Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086; see also CACI No. 4106.)

Defendants

argue that Plaintiffs fail to allege that Defendants owed them a fiduciary duty. (Mem., at pp. 9-10.) Taking the allegations of the FAC as true, and drawing all reasonable inferences in favor of the pleading, Plaintiffs allege that Defendants represented that they would serve as investment advisers, control Plaintiffs' investments, and make trading decisions on their behalf. This is a classic example of a relationship giving rise to fiduciary duties.

The

pleading is not uncertain.

The

demurrer to the Third Cause of Action is overruled.

Fourth

Cause of Action (Conspiracy)

The Fourth Cause of Action
in the FAC is for civil conspiracy.

“Civil conspiracy is not an independent tort.” (City of Industry v. City of Fillmore (2011) 198 Cal.App.4th 191, 211-212 [citations omitted].) Instead, it is a legal doctrine that “renders each participant in the wrongful act responsible as a joint tortfeasor for all damages ensuing from the wrong, irrespective of whether or not he was a direct actor and regardless of the degree of his activity.” (Applied Equipment Corp. v. Litton Saudi Arabia Ltd. (1994) 7 Cal.4th 503, 511; accord IIG Wireless, Inc. v. Yi (2018) 22 Cal.App.5th 630, 652; City of Industry, supra, 198 Cal.App.4th at p. 212.)

“The elements of an action for civil conspiracy are [1] the formation and operation of the conspiracy”; [2] “an act or acts done in furtherance of the common design”; and [3] “damage resulting to plaintiff.” (Applied Equipment Corp., supra, 7 Cal.4th at p. 511; accord AREI II Cases (2013) 216 Cal.App.4th 1004, 1022; City of Industry, supra, 198 Cal.App.4th at p. 212; CACI No. 3600.) “[T]he conspiracy itself is not actionable without a wrong.” (Okun v. Super. Ct. (1981) 29 Cal.3d 442, 454.)

Contrary to Defendants’ arguments (Mem., at pp. 10-11), Plaintiffs sufficiently allege the agreement, the wrongful acts, and resulting damage. (FAC, ¶¶ 11-21, 40-42.)

The pleading is not uncertain.

The
demurrer to the Fourth Cause of Action is overruled.

Fifth
Cause of Action (Unjust Enrichment)

The
Fifth Cause of Action in the FAC is labeled as “Unjust Enrichment.” Defendants argue that there is no cause of action unjust enrichment.

The

case law in California on this point is mixed.

Numerous cases state that there is no cause of action for unjust enrichment under California law. (E.g., *Sepanossian v. National Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, 206-207; *City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 477-478; *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370; *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793.)

Other

cases, however, state that the “elements for a claim of unjust enrichment are [1] receipt of a benefit and [2] unjust retention of the benefit at the expense of another. The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched.”

(*Lyles v. Sangadeo-Patel* (2014) 225 Cal.App.4th 759, 769 [citations omitted]; accord *Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.* (2018) 29 Cal.App.5th 230, 238; *Peterson v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593; *Lectodyer v. Seoulbank* (2000) 77 Cal.App.4th 723, 726.) These cases suggest (at the least) that under some circumstances a plaintiff can state a cause of action for unjust enrichment.

The

explanation for this apparent conflict is that, as courts have explained, “Whether termed unjust enrichment, quasi-contract, or quantum meruit, the equitable remedy of restitution when unjust enrichment has occurred” is available to a plaintiff and is “an obligation (not a true contract) created by the law without regard to the intention of the parties.” (*City of Oakland*, supra, 83 Cal.App.5th at pp. 477-478 [citations omitted]; accord *Sepanossian*, supra, 97 Cal.App.5th at pp. 206-207.) Unjust enrichment, courts have stated, is simply “a restitution claim.” (E.g., *Hill v. Roll International Corp.* (2011) 195 Cal.App.4th 1295, 1307.)

The

Court also notes that whether a complaint states facts sufficient to constitute a cause of action is determined by the substance of the pleading, not the label or title of a cause of action provided by the pleader. (*Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, 998; *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39; *Adelman v. Associated International Ins. Co.* (2001)

90 Cal.App.4th 352, 359.)

Here,

Plaintiffs allege that Defendants have been unjustly enriched: they obtained more than \$1 million from Plaintiffs through false representations and have retained, rather than returned, those funds.

(FAC, ¶¶ 11-21, 44-45.) That is

sufficient to state a cause of action, whether called “unjust enrichment,” “quasi-contract,” or “restitution.”

The pleading is not uncertain.

The

demurrer to the Fifth Cause of Action is overruled.

Sixth

Cause of Action (Common Count)

The Sixth

Cause of Action in the FAC is labeled as “Common Count.” Defendants argue that this cause of action is “misnamed” and barred by the statute of limitations. (Mem., at p. 12.)

“A

common count is not a specific cause of action ...; rather, it is a simplified form of pleading normally used to aver the existence of various forms of monetary indebtedness.” (Avidor v.

Sutter's Place, Inc. (2013) 212 Cal.App.4th 1439, 1454; accord Camden

Systems, LLC v. 409 North Camden, LLC (2024) 103 Cal.App.5th 1068, 1082; McBride

v. Boughton (2004) 123 Cal.App.4th 379, 394.) “A common count is proper whenever the

plaintiff claims a sum of money due, either as an indebtedness in a sum

certain, or for the reasonable value of services, goods, etc., furnished. It makes no difference in such a case that

the proof shows the original transaction to be an express contract, a contract

implied in fact, or a quasi contract.” (Utility

Audit Co., Inc. v. City of Los Angeles (2003) 112 Cal.App.4th 950, 958; see

also Kawasho International, U.S.A., Inc. v. Lakewood Pipe Service, Inc. (1983)

152 Cal.App.3d 785, 793; 4 B.E. Witkin, California Procedure (6th ed. 2021)

Pleadings § 562.)

The

elements of a cause of action for money had and received are: (1) that the

defendant received money that was intended to be used for the benefit of the plaintiff; (2) that the money was not used for the benefit of the plaintiff; and (3) that the defendant has not given the money to the plaintiff. (Camden Systems, supra, 103 Cal.App.5th at p. 1082; Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 230; Gutierrez v. Girardi (2011) 194 Cal.App.4th 925, 937; Avidor, supra, 212 Cal.App.4th at p. 1454; Farmers Insurance Exchange v. Zerrin (1997) 53 Cal.App.4th 445, 460; Schultz v. Harney (1994) 27 Cal.App.4th 1611, 1623; CACI No. 370.)

Plaintiffs

allege each element of this causes of action.

(FAC, ¶¶ 11-21, 47-48.)

The

pleading is not uncertain.

Nor

is the cause of action necessarily barred as a matter of law by the statute of limitations. It is true, of course, that

a general demurrer may lie

where the dates alleged show the cause of action is barred by the statute of limitations. (See Saliter v. Pierce Bros. Mortuaries (1978) 81

Cal.App.3d 292, 300; Iverson, Yoakum, Papiano & Hatch v. Berwald (1999)

76 Cal.App.4th 990, 995; Vaca v. Wachovia Mortg. Corp. (2011) 198

Cal.App.4th 737, 746.) The running of the statute must appear “clearly and

affirmatively” from the face of the complaint. It is not enough that the

complaint might be time-barred. (Committee for Green Foothills v. Santa

Clara County Bd. of Supervisors (2010) 48 Cal.App.4th 32, 42; Stueve

Bros. Farms, LLC v. Berger Kahn (2013) 222 Cal.App.4th 303, 321.) Moreover, because the statute of limitations

is a defensive matter, and not part of a cause of action, a plaintiff has no affirmatively

obligation to plead facts sufficient to show that a cause of action is timely.

Here,

Plaintiffs allege sufficient facts to support (among other things) an argument for tolling of the statute of limitations as a result of Defendants' fraudulent concealment of their alleged wrongdoing.

(FAC, ¶¶ 15-21.)

On

this pleading, the Court cannot conclude that the cause of action is time-barred

as a matter of law.

The

demurrer to the Sixth Cause of Action is overruled.

Seventh

Cause of Action (Accounting)

The

Seventh Cause of Action in the FAC is for an accounting.

The

basic elements for an accounting are: (1) “that a relationship exists between the plaintiff and defendant that requires an accounting”; and (2) “that some balance is due the plaintiff that can only be ascertained by an accounting.” (Sass v. Cohen (2020)

10 Cal.5th 861, 869; see also Conservatorship of Farrant (2021) 67

Cal.App.5th 370, 376; Fleet v. Bank of America N.A. (2014) 229

Cal.App.4th 1403, 1413; Teselle v. McLoughlin (2009) 173 Cal.App.4th

156, 179; 5 Witkin, California Procedure (6th ed. 2021) Pleadings, § 816.) An accounting action is not available, however, “where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (Sass,

supra, 10 Cal.5th at p. 869 [quoting Teselle, supra, 173 Cal.App.4th

at p. 179]; see also Fleet, supra, 229 Cal.App.4th at p. 1413.)

“The

right to an accounting can arise from the possession by the defendant of money or property which, because of the defendant's relationship with the plaintiff, the defendant is obliged to surrender.” (Teselle, supra, 173 Cal.App.4th at pp. 179-80.)

Interpreting

the FAC in the light most favorable to Plaintiffs, and drawing all reasonable inferences in their favor, Plaintiffs sufficiently allege a cause of action for an accounting. It is unclear what

happened to their funds, as some of the money may have in fact been invested as promised and may be recoverable, in whole or in part, with or without investment gains or losses.

The pleading is not uncertain.

The
demurrer to the Seventh Cause of Action is overruled.

Eighth
Cause of Action (Conversion)

The
Eighth Cause of Action in the FAC is for conversion.

“Conversion
is the wrongful exercise of dominion over the property of another.” (Lee v. Hanley (2015) 61 Cal.4th
1225, 1240.) The elements of a cause of
action for conversion are: (1) that the plaintiff owned, possessed, or had a
right to possess property; (2) that the defendant substantially interfered with
the plaintiff’s ownership, possession, or right of possession; (3) that the
plaintiff did not consent; and (4) that the defendant’s conduct was a
substantial factor in causing harm to the plaintiff.” (Ibid.; CACI No. 2100.)

Plaintiffs
have sufficiently alleged each of these elements. (FAC, ¶¶ 11-21, 56-57.)

The pleading is not uncertain.

The
demurrer to the Eighth Cause of Action is overruled.

Ninth
and Tenth Causes of Action (Breach of Contract and Breach of the Implied
Covenant of Good Faith and Fair Dealing)

In
the Ninth and Tenth Causes of Action, Plaintiffs allege causes of action for
breach of contract and breach of the implied covenant of good faith and fair dealing.

The
elements of a cause of action for breach of contract are: “(1) the existence
of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3)
defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis
West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821; see also, e.g., Richman

v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

The

elements of a cause of action for breach of the implied covenant of good faith and fair dealing are: (1) that there was or is a contract between the parties; (2) that plaintiff performed its contractual obligations or was excused from performing them; (3) that the conditions requiring defendant's performance have occurred; (4) that the defendant unfairly interfered with the plaintiff's right to receive the benefits of the contract; and (5) that the plaintiff was harmed by the defendant's conduct. (See *Guz v. Bechtel National* (2000) 24 Cal.4th 317, 349-350; *Carma Developers (Cal), Inc. v. Marathon Development California* (1992) 2 Cal.4th 342, 371-372; see also CACI No. 325.) Breach of an express term in the contract is not required. (*Moore v. Wells Fargo Bank* (2019) 39 Cal.App.5th 280, 291-292; *Thrifty Payless v. The Americana at Brand* (2013) 218 Cal.App.4th 1230, 1244.)

Plaintiffs

sufficiently allege the elements of each cause of action. Plaintiffs allege that entered into an agreement in which they would provide funds to Defendants and Defendants would invest those funds on Plaintiffs' account.

(FAC, ¶¶ 11-14, 61.) Plaintiffs

further allege that they performed, that Defendants breached either the express or implied terms of the contract by misappropriating their funds, and that Plaintiffs were injured thereby. (FAC, ¶¶ 17-21, 62-64, 66-69.)

The pleading is not uncertain.

The

demurrer to the Ninth and Tenth Causes of Action is overruled.

Conclusion

The

Court OVERRULES the demurrer of Defendants Jason Lee, Jonathan Park, and Aeon International.

Defendants are to file an answer or other responsive pleading by no later than September 30, 2026.

Plaintiffs are ordered to give
notice.